

THE WALL STREET JOURNAL.

What's News

Business & Finance

◆ **OpenAI abandoned** a controversial effort to place its juggernaut artificial intelligence business under control of a for-profit entity and will instead remain under its founding nonprofit board. **A1**

◆ **The S&P 500 and Dow** each snapped nine-day winning streaks, falling 0.6% and 0.2%, respectively, while the Nasdaq shed 0.7%. **B10**

◆ **Oil prices slumped** after OPEC+ agreed to a larger increase in output for a second straight month despite weak prices and an uncertain demand outlook. **B1**

◆ **Sunoco moved** to expand its reach with a \$9.1 billion deal to buy Canada's Parkland, acquiring with it a portfolio of gas stations and a West Coast refinery. **B10**

◆ **Taiwan's central bank** denied speculation that the U.S. asked the island to lift the value of the Taiwan dollar after the currency resumed a blistering rally. **B10**

◆ **Activity among U.S.** services companies rose in April, a symbol of resilient activity in the sector despite trade-policy turmoil. **A2**

◆ **Tyson said its beef** prices rose 8% in its most-recent quarter, while sales volumes slipped 1%, leading to a \$258 million loss in its beef business for the period. **B3**

◆ **Production interruptions** and an unprofitable electric-vehicle business nearly wiped out Ford's net profit in the first quarter, the company said. **B3**

◆ **Philadelphia-based Rite Aid** filed for bankruptcy, its second chapter 11 filing within two years, to look for buyers for its assets. **B5**

World-Wide

◆ **Israel's security cabinet** approved a new ground operation to occupy territory in the Gaza Strip, in a strategic shift that would entail moving most of Gaza's population to an area cleared of militants and taking control of aid distribution. **A1**

◆ **Israel's military** carried out airstrikes against targets in Yemen a day after the Houthis rebel group launched a ballistic missile that struck near Israel's main airport. **A8**

◆ **The Education Department** aims to hold colleges and universities responsible for their former students' loan repayments, threatening to close the spigot depending on default levels. **A1**

◆ **Defense Secretary Pete Hegseth** used Signal more extensively for official Pentagon business than previously disclosed, engaging in at least a dozen separate chats. **A4**

◆ **The Trump administration** plans to begin paying immigrants in the country illegally a stipend of \$1,000 to self-deport, the Department of Homeland Security said. **A3**

◆ **The government won't** provide Harvard with any new federal grants, Education Secretary Linda McMahon said in a scathing letter to the university's president. **A3**

◆ **The Trump administration** presented Columbia with a proposal for a consent decree as the government seeks to exert a degree of control over the university's policies. **A3**

◆ **An industrial plan** Beijing adopted a decade ago has been highly successful in narrowing China's tech gap with the West, a new study found. **A8**

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Fashion Spends a Gala Night at the Museum



GO WITH THE FLOW: Actress Lupita Nyong'o arrived Monday in a pastel green suit and sweeping cape for the Met Gala, fashion's annual fete at the Metropolitan Museum in New York City. This year's theme: 'Superfine: Tailoring Black Style.'

OpenAI Abandons Its Plan To Convert Into a For-Profit

By KEACH HAGEY

OpenAI abandoned a controversial effort to place its juggernaut artificial intelligence business under control of a for-profit entity and said Monday it will instead remain under its founding nonprofit board.

The move could complicate the company's future fundraising efforts. Unlike traditional boards, which must act in the best interest of shareholders, OpenAI's nonprofit board has a fiduciary duty

"to humanity."

OpenAI started work on a change to its business structure after CEO Sam Altman's surprise firing and reinstatement in 2023. Its big investors, including Microsoft, watched his temporary ouster from the sidelines, unable to wield official power over the outcome.

The conversion would have changed OpenAI's business to a public-benefit corporation, while preserving some form of the current nonprofit that controls the company. Altman's rival, estranged co-founder Elon

Musk, had tried to block the conversion in court.

OpenAI said it scrapped the bolder plan after discussions with civic leaders and the attorneys general of California and Delaware, who would be required to sign off on it. The company will instead transform its for-profit subsidiary into a public-benefit corporation that is controlled by the nonprofit parent, the company said.

The change is a win for Musk and other OpenAI critics who believed that the com-

pany has strayed too far from its founding altruistic mission. OpenAI's ChatGPT has become a lead contender in the global AI race, amassing hundreds of millions of users.

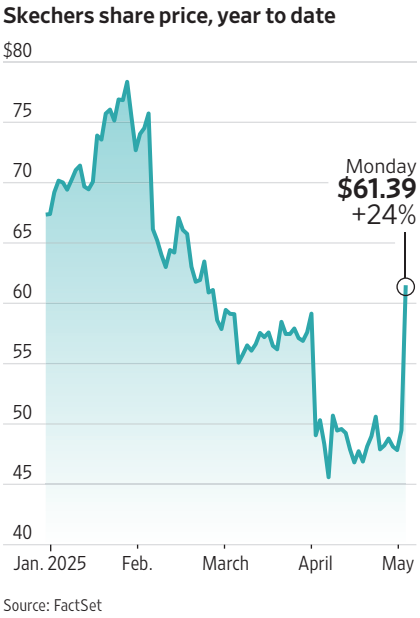
OpenAI has a content-licensing deal with The Wall Street Journal's parent company, News Corp.

Altman said during a news conference on Monday that the new plan creates a more understandable structure. "This is maybe less eventful than people were expecting," he said.

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Skechers To Go Private

Private-equity firm 3G Capital will take Skechers private for \$9.4 billion, a deal that sent the shoemaker's shares surging more than 24%. Skechers shares had tumbled from around \$75 in January to below \$50 recently after the company withdrew financial guidance for the year. **B1**



Trump Threatens Colleges If Student Loans Not Repaid

By MATT GROSSMAN AND DOUGLAS BELKIN

The Trump administration's latest threat to colleges and universities: Get your former students to pay back their loans or future students might not get any.

The administration is invoking rules that allow the government to shut off the federal student-loan spigot for specific schools if too many of their former students have lapsed on payments, according to a notice published by the Educa-

tion Department on Monday.

The government has long had the power to restrict federal student aid if too many students don't pay it back—a check intended to make sure the government isn't on the hook for degrees that don't pay off for graduates. Losing eligibility for federal aid is a potentially devastating blow to a school's ability to attract students.

A far bigger group of schools is now at risk because so many students never resumed paying back their loans after a pandemic pause.

Nearly 10 million borrowers are either already in default or on the cusp, the Education Department said. Within a few months, about a quarter of borrowers nationwide could be in default, meaning they are at least nine months behind on payments.

For many borrowers, the urgency of repayment is a shock after the policies of the Biden administration, which tried to

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◆ **Government halts all new Harvard grants.....** A3

Tariff Plot Twist Panics Hollywood

Hollywood has been pleading with politicians for years to help stem the exodus of film

By Ben Fritz, Brian Schwartz and Erich Schwartzel

and TV production to other countries. This weekend, actor Jon Voight met with President Trump to make the case.

The president's call for 100% tariffs on imported movies—which he issued in a social-media post Sunday—isn't what Hollywood had in mind.

Entertainment-industry executives expressed confusion over how a levy could be applied to intellectual property with no specific monetary value. They said they feared retaliatory tariffs could dam-

age their business overseas, where big-budget movies often earn most of their box-office receipts. Shares in Disney, Netflix and other media companies and movie-theater chains fell Monday.

More moves out of Washington could be coming. Voight said in an interview Monday that the tariff announcement

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How Trump's Alcatraz Idea Went Over on 'The Rock'

Visitors to the prison on Monday mulled the idea from cramped, windowless cells

By JIM CARLTON AND SARA RANDAZZO

SAN FRANCISCO—To some in this city, turning Alcatraz back into a prison would be a crime.

"The Rock," which closed 62 years ago, is now a coveted tourist attraction, but Presi-

dent Trump wants to return the site back to its original function. San Francisco has channeled the public's macabre fascination with life inside the notorious prison to turn it into one of the city's top tourist attractions.

Visitors can take a night

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INSIDE



U.S. NEWS
Wall Street Journal series on Elon Musk wins Pulitzer Prize for national reporting. **A6**

China's Official Statistics Are Disappearing

Missing data make it harder to know what's going on in the country

By REBECCA FENG AND JASON DOUGLAS

Not long ago, anyone could comb through a wide range of official data from China. Then it started to disappear.

Land sales measures, foreign investment data and unemployment indicators have gone dark in recent years. Data on cremations and a business confidence index have been cut off. Even official soy sauce production reports are gone.

In all, Chinese officials have stopped publishing hundreds of data points once used by researchers and investors, according to a Wall Street Journal analysis.

In most cases, Chinese authorities haven't given any reason for ending or withholding data. But the missing numbers have come as the world's second biggest economy has stumbled under the weight of excessive debt, a crumbling real-estate market and other troubles—spurring heavy-handed efforts by authorities to control the narrative.

The disappearing data have made it harder for people to know what's going on in China at a pivotal time, with the trade war between Washington and Beijing expected to hit China hard and weaken global growth. Plunging trade with the U.S.

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